

they *should* have done years ago: buy U.S. stocks and hold them. Well, thanks, but we can all make market calls retrospectively.

Concluding in retrospect that having bought at the bottom of some market and held through a long rise would have made money is simply a tautology; it is true by definition. Selecting the U.S. stock market from all others, as these studies do, proves the point and negates any possible validity of the generalized conclusion. We have not yet seen a study that focuses on the silver market from the same time, which fell 93%. We have not seen a study concluding that investors should buy and hold another blue chip market, U.S. Treasury bonds, which have lost 50% of their value over the past half century. Solemn academic studies purporting to justify buying in a particular market always come out at tops. Similar ones were issued in the mid-1980s concluding that rare coins and real estate should only be bought and held. Doubtless if we were to visit the Tokyo library, we would find a similar study on the Nikkei dated 1989.

In one representative new book, *Stocks For the Long Run*, a Wharton professor takes the continuation of the long term uptrend so for granted that he even argues that stocks are less *risky* than bonds or even Treasury bills because of their “historical return.” This is simply another statement that in the past fifty years, stocks have outperformed bonds and Treasury bills. Thanks again, but we *know* that; the question is what happens over the *next* investment period. Echoes another analyst, “The greatest risk for most investors is that they don’t have enough of their capital in stocks, not that they have too much.” See how rationalization works to satisfy a psychological imperative? What was seen in 1942 at the 100 level as a *high* risk is seen in 1995 in the 4000s as a *low* risk. Indeed, high risk is now purported to *mean* low risk because the trend will protect you.

In another related study, an economic think tank recently showed, quite accurately, that money managers who have had the least turnover, i.e., who held onto their stocks, have tended to make the most money. A similar study demonstrates that portfolio managers who occasionally hedge their long positions with options and futures have not made as much as the managers who have remained fully exposed to downside risk. The conclusion of both presentations is again that you should have bought stocks long ago and held them unhedged. The implication is that you should *purchase stocks now and never sell or hedge them*. The data used for these studies was from 1982 to 1992, conveniently encompassing almost the entire